lakhs (or upto Rs. 1 lakh, where the Central government specified certain types of debts) would come under its purview.

The tribunals are set up by the Central government. The government also specified the areas within which such tribunals will have jurisdiction. A DRT consists of the Presiding Officer to be appointed by notification by the Central government. The government may also specify that the presiding officer of one tribunal may takeover the functions of the presiding officer of another tribunal. A person has to be at least a district judge to become a presiding officer of a Tribunal.

The very first step involved in the recovery process is to make an application to the Tribunal under Section 19 of the Recovery of Debts due to Banks and Financial Institutions Act, 1993. Every bank and financial institution, which stands to recover loans and other debts, shall initiate the procedure by first forwarding an application to the Tribunal within the local limits of whose jurisdiction the defaulter company is located. After the financial institution has filled an application before the Tribunal, and if there are other banks whose loan to the same company has become bad, the latter can join the recovery suit.

DEBT SWAP SCHEME

In 2003, the Government of India announced a scheme to replace the relatively high cost debt of states with lower cost borrowings, taking advantage of falling interest rates. The scheme envisages states pre-paying that portion of their outstanding debt to the Centre on which the interest rate is 13 per cent and more, contracted during the mid-1990s when general interest rates were high.

Of a total stock of ‘2,44,000 crore of outstanding Plan loans, ‘1,00,000 crore worth of loans bear a coupon rate of 13 per cent and above. Servicing these loans is a major burden for states, many of which are undergoing fiscal stress. These loans from the Centre would be pre-paid using fresh, lower cost debt, which consists of both the small savings lent to the states by the National Small Savings Fund and additional market borrowings. As a